

Q3 Management Performance Report

FY2025/26 | Nine months ended 31 March 2026

AUD 91.8m Revenue AUD 1.2m below budget	42.4% Gross margin 0.7 percentage points below budget	AUD 8.7m Adjusted EBITDA AUD 0.7m below budget
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This report contains synthetic business information created for a reproducible multiformat RAG evaluation project.

1. Executive summary

Harbour Retail Group delivered revenue of AUD 91.8 million for the nine months ended 31 March 2026. Revenue remained AUD 1.2 million below budget, while gross margin and Adjusted EBITDA were affected by freight costs, promotional activity and higher digital customer acquisition expenditure.

1.9% Store sales growth Positive but below online growth	14.8% E-commerce growth Strongest-performing channel	AUD 121.8m FY revenue forecast AUD 2.2m below budget
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Management assessment

- **Revenue:** Trading remained below the nine-month budget, with strong e-commerce growth partially offsetting softer performance in physical stores.
- **Gross margin:** The result of 42.4% was 0.7 percentage points below budget, reflecting freight surcharges, expedited shipments and promotional pressure.
- **Operating expenditure:** March costs were AUD 393,000 above budget, led by Marketing and Supply Chain.
- **Outlook:** The full-year forecast remains below budget. Management actions are focused on margin recovery, expenditure control and working-capital improvement.

Immediate management focus

Priority	Management response
Gross margin recovery	Tighter promotional controls, supplier negotiations and updated freight assumptions.
Marketing efficiency	Reallocate spend toward channels with measurable conversion and customer acquisition returns.
Working capital	Reduce slow-moving inventory and improve category-level inventory actions.
Forecast discipline	Complete the Q4 refresh and identify savings required to protect Adjusted EBITDA.

2. Financial performance

Metric	Actual	Budget	Variance	Assessment
Revenue	AUD 91.8m	AUD 93.0m	-AUD 1,200,000	Below budget
Gross margin	42.4%	43.1%	-0.7 pp	Below budget
Adjusted EBITDA	AUD 8.7m	AUD 9.4m	-AUD 700,000	Below budget

Performance against budget

Revenue



Gross margin



Adjusted EBITDA



Key financial commentary

- Revenue was 1.3% below budget. E-commerce provided the strongest growth contribution, while store performance was more moderate.
- Gross margin was 42.4%, compared with a budget of 43.1%. Freight surcharges, expedited shipments and promotional activity were the main sources of pressure.
- Adjusted EBITDA was AUD 8.7 million, AUD 700,000 below budget. The result reflects both the gross-margin shortfall and selected departmental overspends.

The financial result requires a stronger Q4 focus on gross-margin recovery and discretionary expenditure control.

3. Channel and commercial performance

1.9%

Physical store sales growth

Positive growth across the store network

14.8%

E-commerce sales growth

Strongest channel performance

Physical stores

Store sales increased by 1.9% for the nine-month period. Performance was positive but remained below the growth achieved by the online channel. Management continues to focus on stock availability, promotional discipline and labour productivity.

E-commerce

E-commerce sales grew by 14.8%, making it the strongest-performing channel. However, paid digital acquisition costs increased faster than online conversion, reducing the incremental return from part of the Marketing investment.

Channel	Growth	Main observation	Q4 response
Physical stores	1.9%	Positive growth with inventory and labour-cost pressure.	Improve availability and reduce slow-moving inventory.
E-commerce	14.8%	Strong sales growth but acquisition costs rose faster than conversion.	Shift spend toward channels with measurable conversion.

Commercial growth remains concentrated in e-commerce. Management must improve digital marketing efficiency while protecting store availability and margin.

4. March departmental cost performance

Department	Budget	Actual	Variance	Status
Marketing	AUD 620,000	AUD 805,000	AUD 185,000	Unfavourable
Supply Chain	AUD 1,240,000	AUD 1,390,000	AUD 150,000	Unfavourable
Retail Operations	AUD 2,280,000	AUD 2,345,000	AUD 65,000	Unfavourable
E-commerce	AUD 710,000	AUD 735,000	AUD 25,000	Unfavourable
People & Culture	AUD 520,000	AUD 545,000	AUD 25,000	Unfavourable
Finance	AUD 460,000	AUD 448,000	-AUD 12,000	Favourable
Information Technology	AUD 410,000	AUD 365,000	-AUD 45,000	Favourable

March operating expenditure was AUD 6.633 million, AUD 393,000 above the total departmental budget of AUD 6.240 million.

Principal variance drivers

Marketing: AUD 185,000 unfavourable. Unplanned digital customer acquisition campaign. **Owner:** Sarah Mitchell.

Supply Chain: AUD 150,000 unfavourable. Freight surcharges and expedited shipments. **Owner:** Liam O'Connor.

Information Technology: -AUD 45,000 favourable. Delay in a planned vendor implementation milestone. **Owner:** Ethan Brooks.

Management interpretation

The March overspend was concentrated rather than broad-based. Marketing and Supply Chain represented AUD 335,000 of the total unfavourable variance. Information Technology partially offset the pressure because a vendor implementation milestone was delayed.

5. Full-year forecast

Metric	Forecast	Budget	Variance	Variance %
Revenue	AUD 121.8m	AUD 124.0m	-AUD 2,200,000	-1.8%
Adjusted EBITDA	AUD 11.3m	AUD 12.2m	-AUD 900,000	-7.4%

AUD 2.2m

Revenue recovery required

Gap to the full-year budget

AUD 0.9m

EBITDA recovery required

Gap to the full-year budget

Forecast assumptions

- Revenue forecast assumes continued e-commerce growth but no full recovery of the year-to-date sales shortfall.
- Freight costs remain above the original budget during Q4, using current surcharge rates and revised shipment assumptions.
- No additional unplanned Marketing campaigns are assumed without Finance Director approval.
- Non-critical recruitment remains paused until the Q4 forecast refresh has been approved.
- The delayed IT implementation remains in the forecast with updated timing and cash-flow assumptions.

The updated forecast remains below budget. The executive review will focus on realistic savings and margin actions rather than relying on unsupported revenue recovery.

6. Principal business risks

Risk	Description	Financial impact	Owner	Severity
Supply Chain	International freight costs may remain above budget during Q4.	Pressure on gross margin and distribution expenses	Liam O'Connor	High
Inventory	Late supplier deliveries may reduce availability of selected seasonal ranges.	Lost sales and increased use of expedited freight	James Carter	Medium
Marketing	Paid digital acquisition costs have increased faster than online conversion.	Lower return on marketing investment	Sarah Mitchell	Medium
People	Wage cost pressure may increase store operating expenses.	Higher labour cost percentage	Grace Lee	Medium

Risk response

- **Supply Chain:** update the Q4 logistics forecast, continue supplier negotiations and review opportunities to consolidate shipments.
- **Inventory:** prepare category-level targets for reducing slow-moving stock while protecting seasonal availability.
- **Marketing:** require measurable conversion and customer acquisition returns before reallocating discretionary spend.
- **People:** maintain the pause on non-critical recruitment and monitor wage-cost pressure through the monthly forecast.

International freight cost remains the only risk currently assessed as High severity. It affects both gross margin and distribution expenditure.

7. Q4 priorities and agreed actions

Priority	Description	Owners
PRI_001	Recover gross margin through tighter promotional controls and supplier negotiations.	Olivia Bennett, James Carter, Liam O'Connor
PRI_002	Reduce slow-moving inventory and improve working capital.	Daniel Wu, James Carter, Liam O'Connor
PRI_003	Reallocate marketing spend toward channels with measurable conversion.	Daniel Wu, Sarah Mitchell
PRI_004	Complete the Q4 forecast refresh and identify actions to protect Adjusted EBITDA.	Olivia Bennett, Daniel Wu

Forecast meeting action plan

Action	Owner	Deadline
ACT_001: Prepare a revised Marketing channel allocation showing expected spend, conversion and customer acquisition cost.	Sarah Mitchell	2026-04-17
ACT_002: Update the Q4 logistics forecast using current freight surcharges and revised shipment volumes.	Liam O'Connor	2026-04-15
ACT_003: Refresh the IT implementation business case, timeline and cash flow profile.	Ethan Brooks	2026-04-24
ACT_004: Consolidate departmental savings and issue the updated Q4 forecast for executive review.	Daniel Wu	2026-04-27
ACT_005: Prepare a slow-moving inventory reduction plan with category-level targets.	James Carter	2026-04-22
ACT_006: Provide an updated list of vacancies classified as critical or non-critical.	Grace Lee	2026-04-16

The Head of FP&A will consolidate departmental savings and issue the updated Q4 forecast for executive review by 27 April 2026.

8. Appendix

Selected KPI definitions

KPI	Definition	Formula	Owner
Revenue	Total income generated from the sale of goods before deducting operating expenses.	Gross sales less returns, discounts and sales taxes	Daniel Wu
Gross margin	Gross profit expressed as a percentage of revenue.	(Revenue - cost of goods sold) / revenue	Daniel Wu
Adjusted EBITDA	Earnings before interest, tax, depreciation and amortisation, adjusted for approved non-recurring items.	Operating profit + depreciation + amortisation + approved adjustments	Olivia Bennett
Forecast accuracy	Accuracy of the most recently approved forecast compared with actual results.	1 - absolute value of (actual - forecast) / actual	Daniel Wu

Document sources

Document ID	Source	Purpose
DOC_PDF_001	Q3 Management Performance Report FY2025/26	Narrative financial performance, business risks and Q4 priorities
DOC_DOCX_001	Finance Policies and Procedures	Finance controls, approval requirements and month-end procedures
DOC_CSV_001	Monthly Budget vs Actual FY2025/26	Structured departmental expense performance
DOC_JSON_001	Finance KPI Dictionary	Definitions, formulas, ownership and targets for finance KPIs
DOC_MD_001	FP&A Forecast Meeting Notes - 10 April 2026	Forecast commentary, decisions, actions, owners and deadlines

Variance conventions

- Expense variance equals actual expense less budget. A positive value is unfavourable because actual expenditure is above budget.
- Forecast variance equals actual expense less the departmental pre-close forecast.
- Rates are stored as decimal fractions in the source blueprint and displayed as percentages in this report.

End of Q3 Management Performance Report FY2025/26